

# Enterprise Business Applications: The Questions No One Asks

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# Agenda

**ERP: the standard view of the world**

**Beyond ERP: Infinite Resource  
Planning**

**Ten Tips from the walking wounded**

**Conclusions, observations, and  
questions**

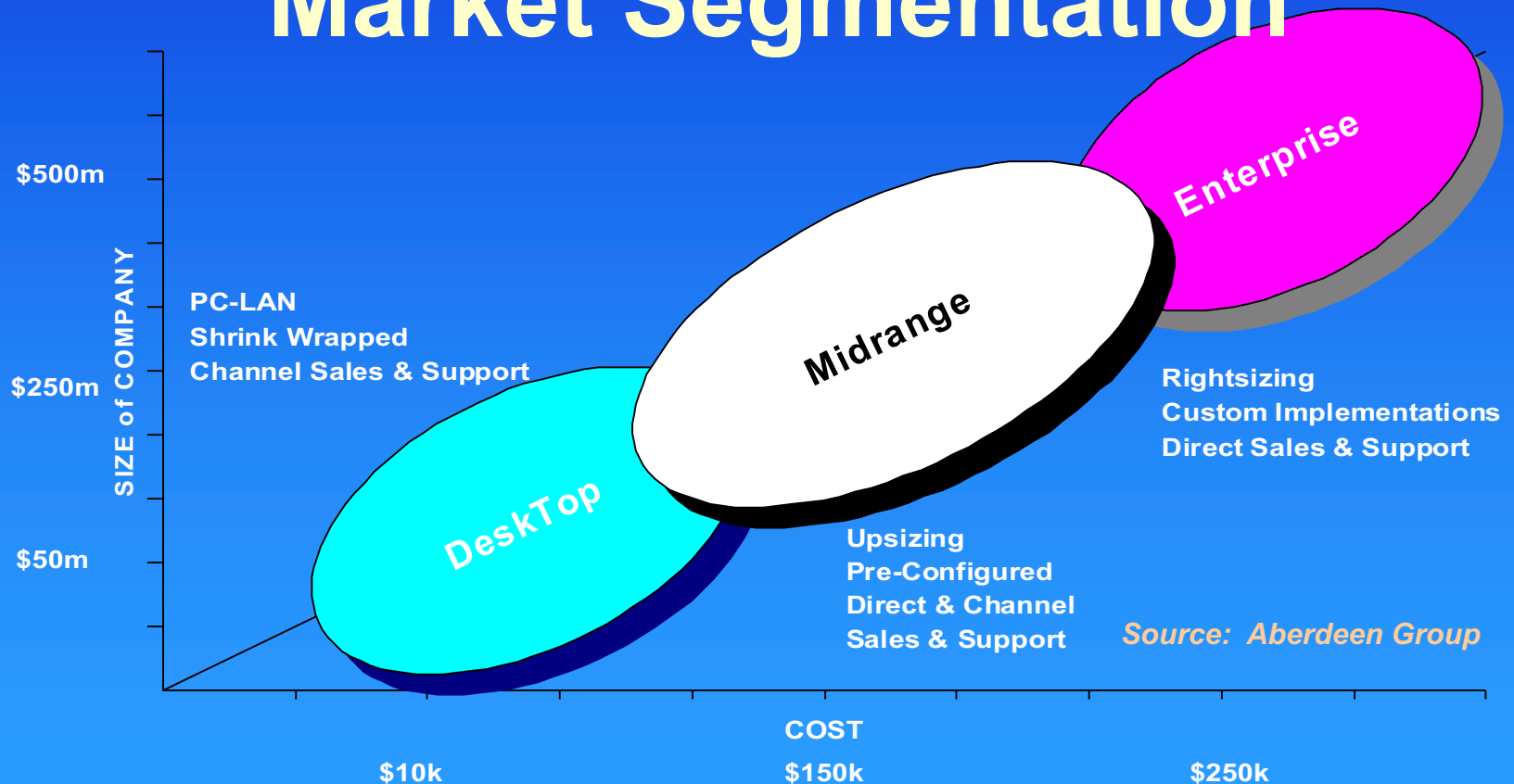
# Enterprise Business Application Solutions

## Packaged Applications for:

- Finance & Accounting
- Manufacturing & Distribution
- Human Resources

Open, Graphical, Distributed,  
Interoperable, Web-enabled  
Value beyond line-of-business  
functionality

# Enterprise Business Application Market Segmentation



# Major Players

## ■ Industry Gorillas

- SAP AG
- Baan
- Oracle
- Peoplesoft

## ■ Best of Breed

- Computer Associates
- Great Plains
- JD Edwards
- Lawson
- Marcam
- System Software Assoc.

# EBA Trends

**Marrying manufacturing to sales: ERP + CIS = CRM**

**Advanced Planning Engines benefit manufacturers**

**Vertical market specialization expands**

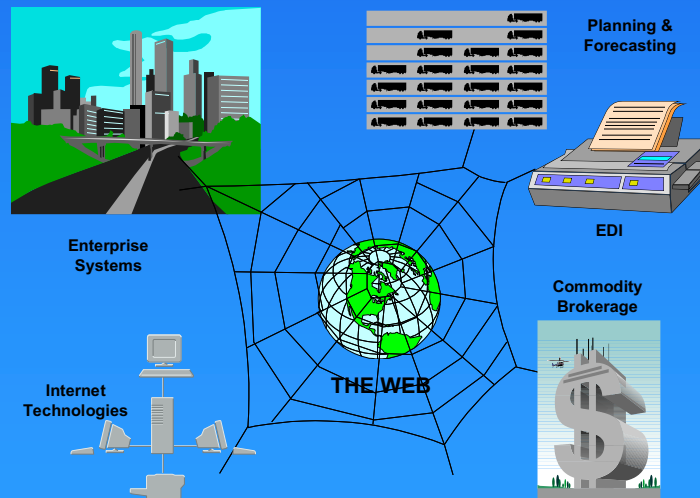
**Application integration technologies emerge**

**Sales focus is now middle-market companies**

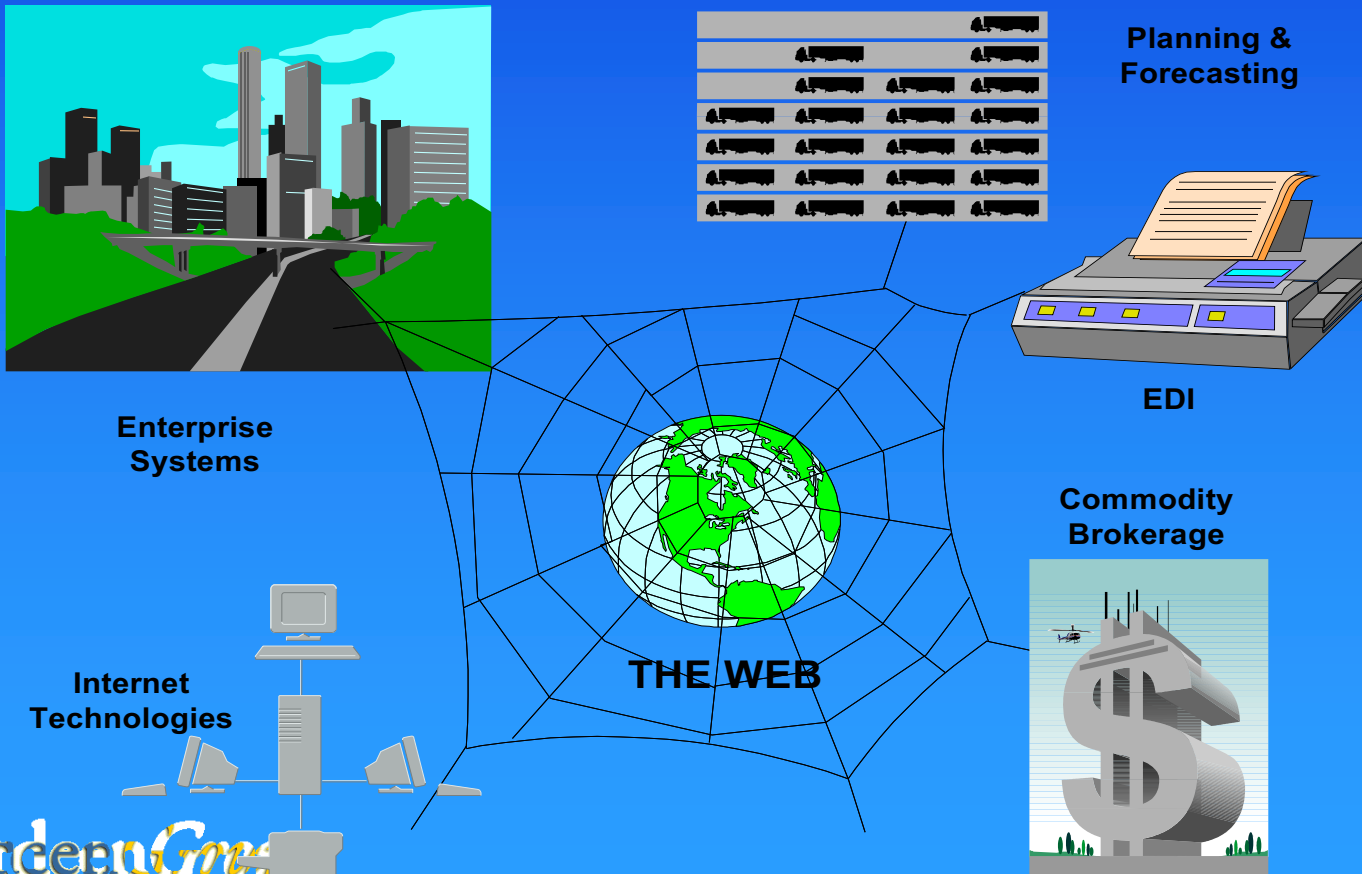
**Vendor consolidation has just started**

**But no one supplier will own it all**

# Beyond ERP: The Emergence of Infinite Resource Planning



# Aberdeen's Infinite Resource Planning (IRP) Model





# **Infinite Resource Planning: Business Model**

**Supply-chain push and pull**

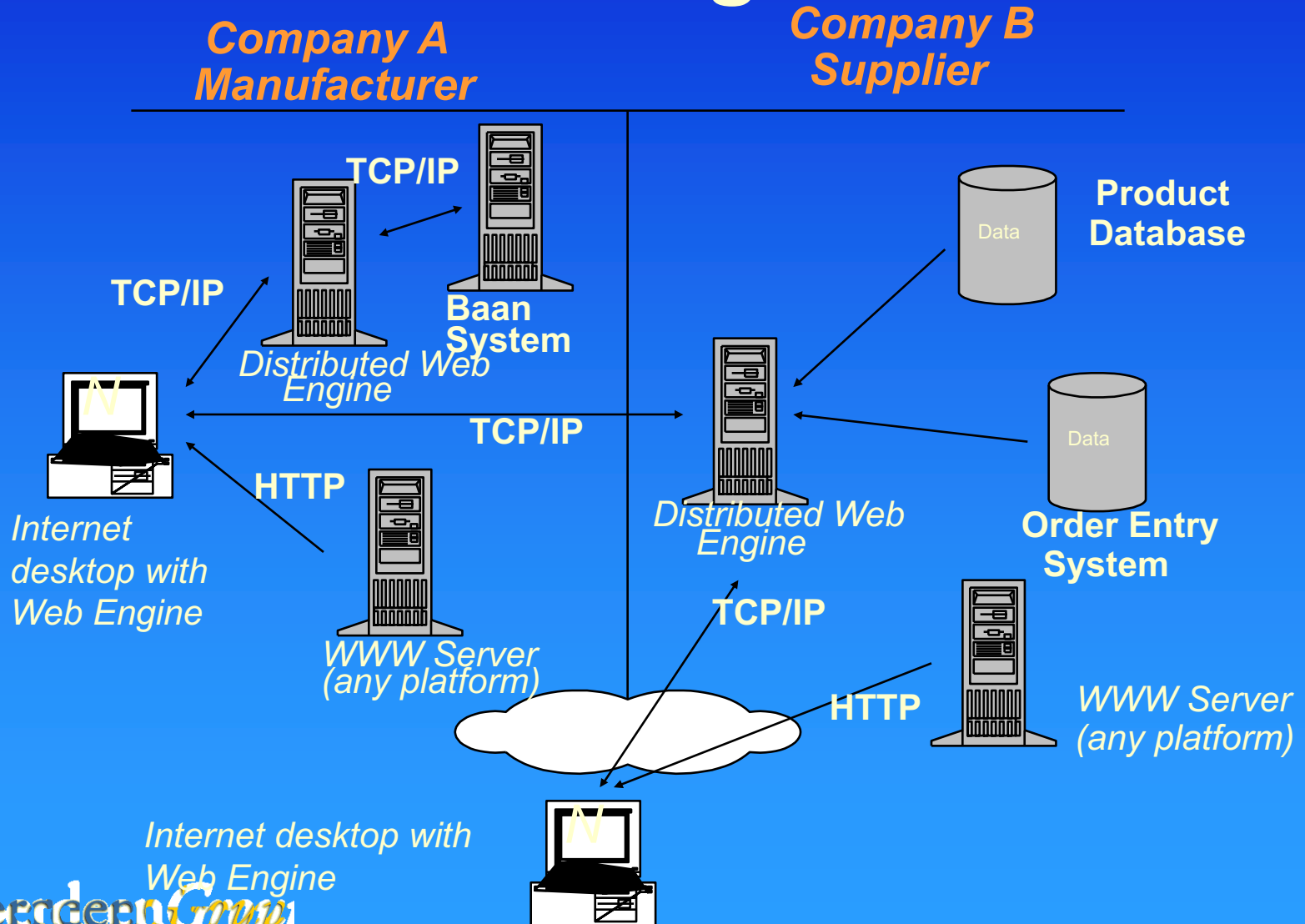
**Customer delight, customer  
knowledge**

**Infinite resources due to continuous  
planning. JIT becomes the norm not  
the exception.**

**Text-book examples:**

- **Dell Computer, Amazon.com, Cisco**

# Internet Business-to-Business Leverage



# IRP Technology Inhibitor: Our Legacy Systems & Processes

## MRP systems from the 1970s

- Great cost accounting
- Adequate inventory control
- Primitive scheduling & forecasting

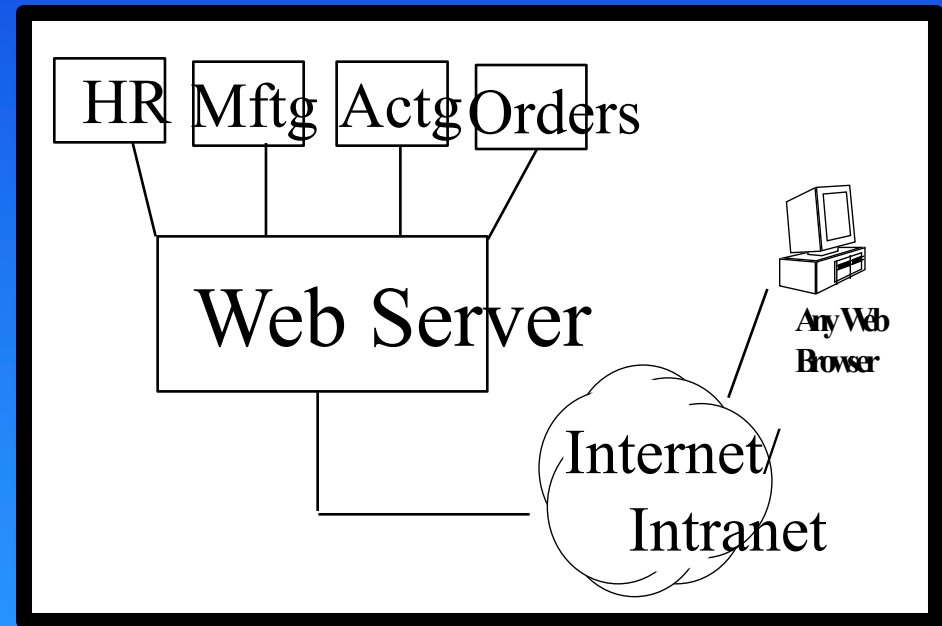
## ERP systems from the 1980s-1990s

- Single-vendor integration
- Fat clients -- big PCs on every desktop
- Little cross-vendor interoperability
- High costs of proprietary electronic data interchange

# Leverage!

*Companies must leverage what they have:*

- Over 20 years of embedded business processes and practices
- Rich base of *Make The Money* applications
- Business and System Security
- Networks
- Personnel -- Skills and Experience

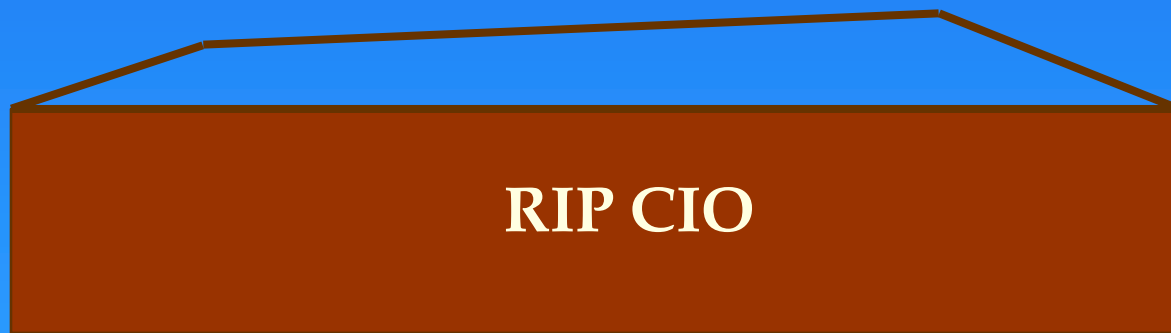


# IRP Critical Success Factors

## Overcome Productivity Obstacles

- Interface with new, existing and packaged systems
- Support Enterprise and Internet infrastructures simultaneously
- Leverage low-maintenance thin clients
- Hide existing system complexity
- Ensure security

# Ten Costly Mistakes Others Made



# #1 Skimping on Outside Services

**“We’ll economize by cutting outside services.”**

**Skimping is false economy!**

**System Integrators do this every day**

**Do you really have IS staff sitting on the bench?**

**Plan on outside services being over 50% of direct costs**



# #2 Costs = Hardware + Software + a Little

Server hardware and software equal ~10% of project costs

Under-estimated money pits

- user management time
- IS project management
- user training
- cross-system data exchange
- conversions
- performance tuning



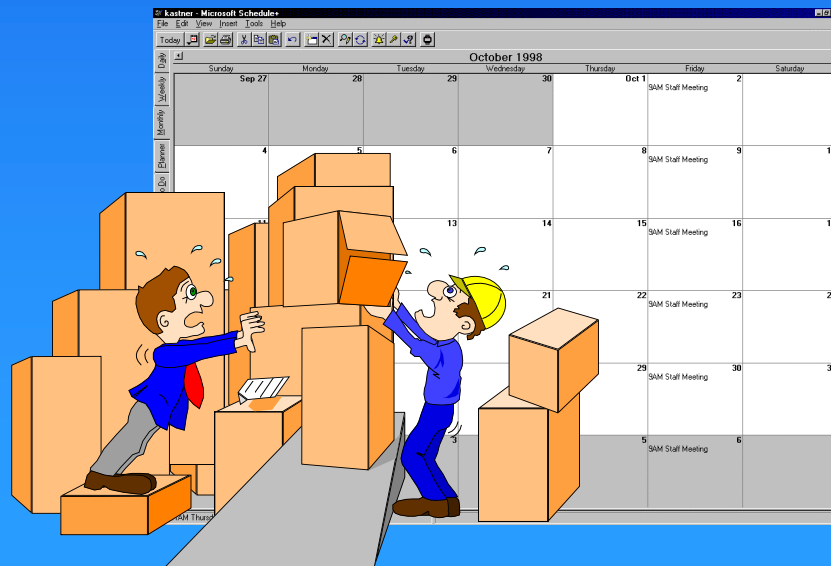


# #3 Installation is a 3-Day Weekend

An unnamed college book publisher ...

No one does a big bang conversion and cut-over!

Convert and train and trial an application at a time



# #4 IS Should Drive the Project

**No. CEO must drive the project**  
**Senior management team must fight fires, conflicts**  
**IS is the implementation arm of the management team**  
**Timely conflict resolution mechanism is key process**



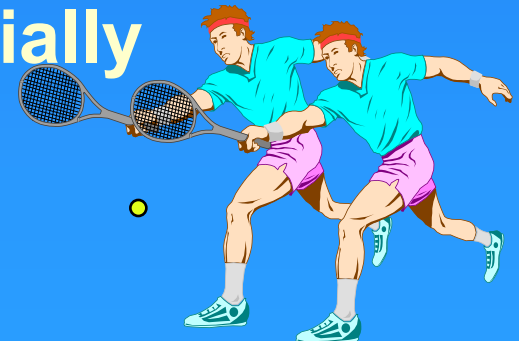
# #5 Your ERP Suppliers are a Team

They are Balkan allies ... at best

- Every “partner” has own agenda
- These agendas often are at odds
- You are in the middle

**Solution:**

- pick a manager
- make the manager financially accountable



# #6 It's a Canned, Best-Practices Solution



**It's really ideal for no one!**

**Trade-off: customization & cost versus implementation time & flexibility**

**Avoid the extremes of over- or under-customization**

**The smaller your organization, the more you depend on ERP supplier's "best practices"**

# #7 One Size Fits All

**Sure, just like Windows NT does ...**

**Each ERP supplier is different and better suited for specific instances**

- **vertical market expertise**
- **geographic concentration of customers and support**
- **hardware and OS platform**
- **Systems integration partner experience**
- **application functionality**

**Look for a local mirror installation to your site needs**

# #8 We'll Train As We Go

**Fact: These are enormously complex applications**

**Training is critical to short- and long-term success**

**Tendency is to skimp on training time**

**User department management is the worst offender**



# #9 Reengineering is an Easy, Parallel Project

Nine women cannot have a baby in one month

Seriously reengineering your processes in conjunction with ERP installation is where the \$200 million fiascoes come from

But focused reengineering on critical processes makes enormous sense

Needed: balance between “we always did it this way” and “the new system will only do it this way”.

# #10 ERP Will Solve Your Year 2000 Problems

*December 31, 1999 12:59PM*

**Not your legacy application problems**

**Not your supplier-partner data interchange problems**

**Not your embedded computer applications**

**Not your hardware or OS**

**Aberdeen: new ERP system decision this quarter may be the only way out for many mainframe customers**



# Summary Conclusions

**ERP market is huge because it satisfies pent-up demand**

**ERP systems become IRP systems over next 5 years**

**Enterprise Business Application integration is a continuing saga**

**It's easy to make costly mistakes. Don't repeat history. Planning is everything.**

# Aberdeen Group Resources

**[www.aberdeen.com](http://www.aberdeen.com)**

**Enterprise Application Integration**

**Customer Interaction Solutions**

**Electronic Commerce**

**Vertical Industries**

**Enterprise Business Applications**

**Research, analysis, consulting**

# Technology Enablers

## Objects

- Reusable business-process logic units
- Technology-transparent data and processing infrastructure (e.g., Object Request Brokers)

## Internet

- Universal Network to customers and suppliers
- Common technology building-block standards

## Networked Computer Architectures

- Thin clients (e.g., NC and NetPC)
- Internet appliances for home, office, & mobile